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04

How to Form a Business



Learning Objective

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PART 1 – Describe basic forms of business ownership: (1) sole proprietorships, (2) partnerships, and (3) corporations

PART 2 - Describe other forms of business ownership: (1) franchise and (2) cooperatives

Basic Forms of Ownership

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Sole Proprietorship (UD)

*A business owned, and usually managed, by **one person**.*

Partnership

*Two or more people legally agree to become **co-owners** of a business.*

Corporation

A legal entity with authority to act and have liability apart from its owners.

Sole Proprietorship



BENEFITS

- Ease of starting and ending the business
- Being your own boss
- Pride of ownership
- Leaving a legacy
- Retention of company profit
- No special taxes



DISADVANTAGES

- **Unlimited Liability --** *Any debts or damages incurred by the business are your debts, even if it means selling your home, car or anything else.*
- Limited financial resources
- Management difficulties
- Overwhelming time commitment
- Few fringe benefits
- Limited growth
- Limited life span

Partnerships

Partnerships - *Two or more people legally agree to become* ***co-owners*** *of a business.*

Major Type of Partnership

General Partnership (*Firma*)

- *All owners share in operating the business and in assuming liability for the business's debts.*
- Berdasarkan Pasal 16 Kitab UU Hukum Dagang, persekutuan firma adalah persekutuan yang diadakan untuk menjalankan suatu perusahaan dengan memakai nama bersama

Limited Partnership (CV)

- Persekutuan Komanditer/*commanditaire vennootschap*
- *A partnership with one or more general partners and one or more limited partners.*

Types Of Partners

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General Partner

- *An owner (partner) who has unlimited liability and is active in managing the firm.*

Limited Partner

- *An owner who invests money in the business, but enjoys limited liability.* **Limited Liability** means that liability for the debts of the business is *limited* to the amount the limited partner puts into the company; personal assets are not at risk.

Partnerships



Benefits

- More financial resources
- Shared management and pooled/complementary skills and knowledge
- Longer survival
- No special taxes



Disadvantages

- Unlimited liability
- Division of profits
- Disagreements among partners
- Difficult to terminate

Picking Your Partner

There is no such thing as a perfect partner but ask these questions when you try to find your best match:

- Do you share the same goals?
- Do you share the same vision for the company?
- What skills does he/she have? Are yours the same?
- What can he/she bring to the business?
- What type of decision maker is he/she?
- Do you trust each other?
- How does he/she problem solve?

Corporations

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Conventional Corporation (PT)

- *A state-chartered legal entity with authority to act and have liability separate from its owners (its stockholders).*
- Prosedur pendirian PT mengacu pada UU No. 40 tahun 2007 tentang Perseroan Terbatas

Perseroan Terbatas Terbuka

Perseroan terbatas yang menjual sahamnya kepada masyarakat melalui pasar modal (go public).

Perseroan Terbatas Tertutup

Perseroan terbatas yang modalnya berasal dari kalangan tertentu dan tidak jual kepada masyarakat umum.

Conventional Corporations

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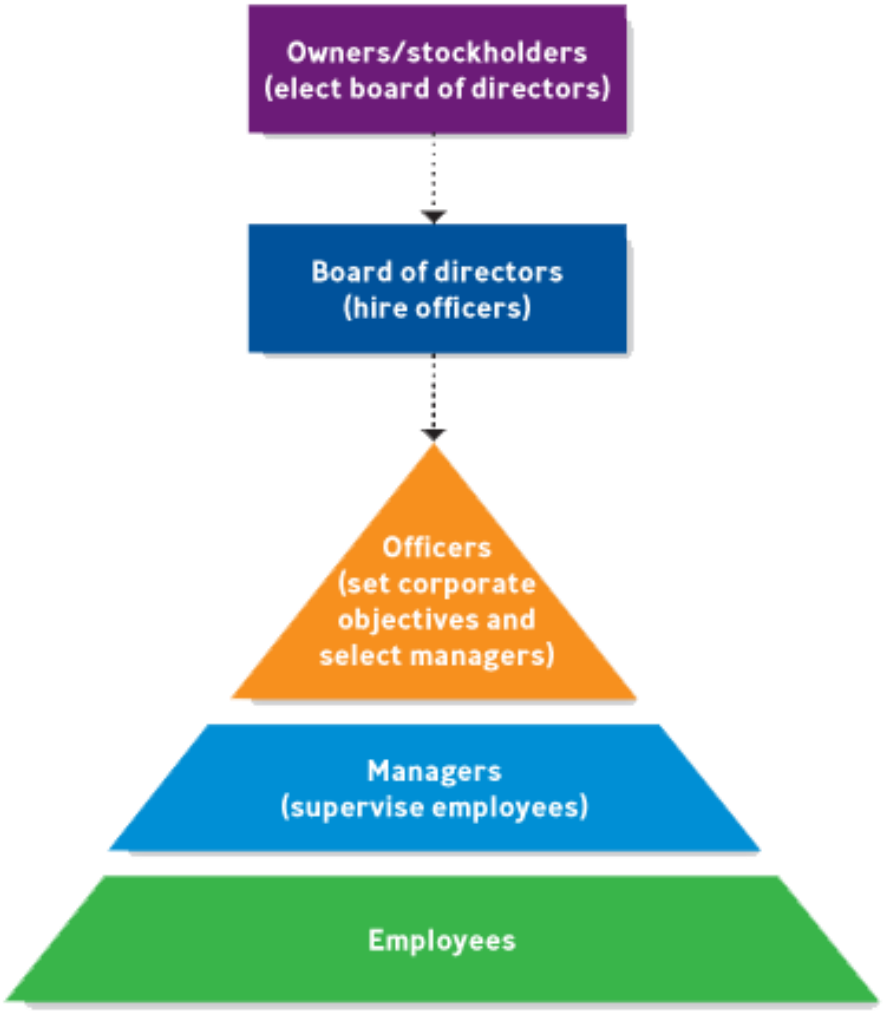
Advantages

- Limited liability
- Ability to raise more money for investment
- Size
- Perpetual life
- Ease of ownership change
- Ease of attracting talented employees
- Separation of ownership from management

Disadvantages

- Initial cost
- Extensive paperwork
- Double taxation
- Size
- Difficulty of termination
- Possible conflict with stockholders and board of directors

How Owners Affect Management



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Corporate Expansion: Mergers And Acquisitions

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- **Acquisition --** *One company's purchase of the property and obligations of another company.*
- **Merger** -- *The result of two firms joining to form one company.*

Vertical Merger

- *The joining of two firms in different stages of related businesses.*

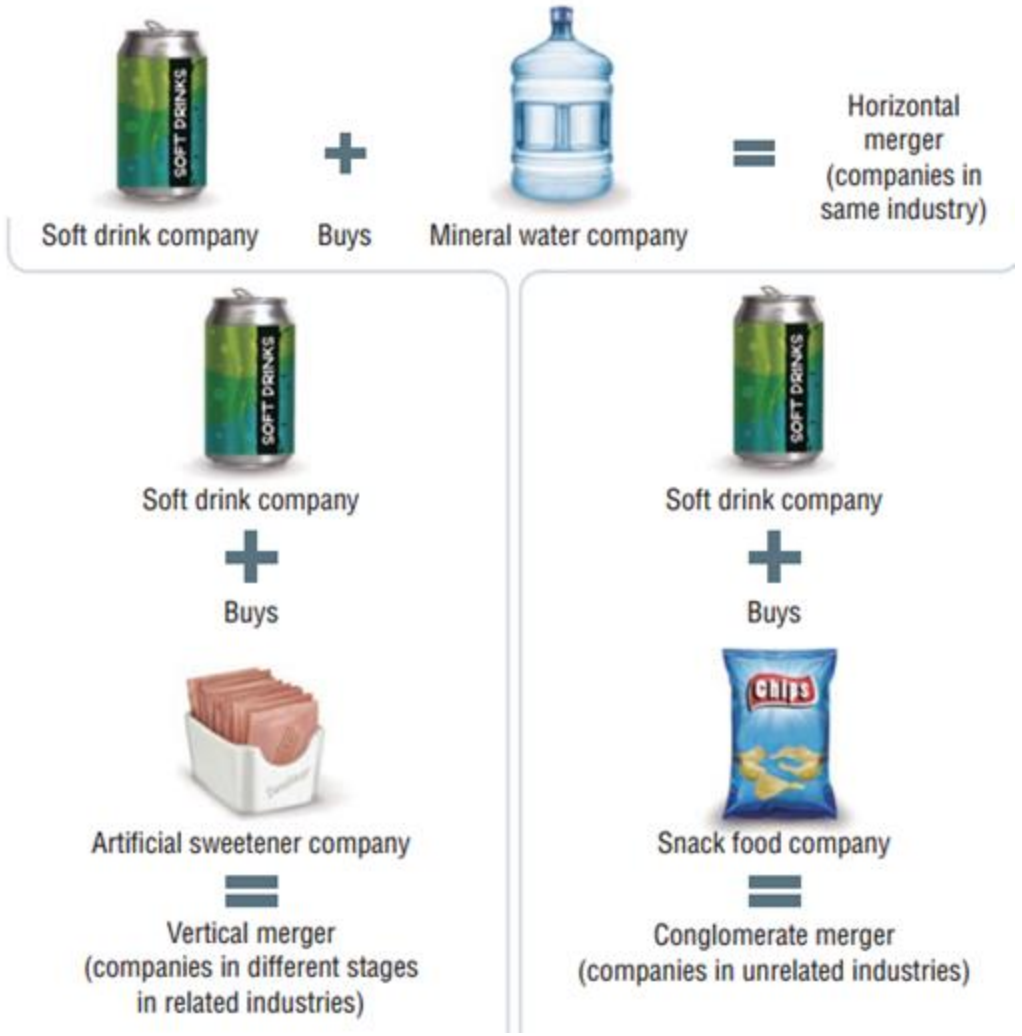
Horizontal Merger

- *The joining of two firms in the same industry.*

Conglomerate Merger

- *The joining of firms in completely unrelated industries.*

Type of Mergers



Franchising

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Franchise Agreement -- An arrangement whereby someone with a good idea for a business (franchisor) sells the rights to use the business name and sell a product or service (franchise) to others (franchisees) in a given territory.

Franchising



Advantages

- Management and marketing assistance
- Personal ownership
- Nationally recognized name
- Financial advice and assistance
- Lower failure rate



Disadvantages

- `Large start-up costs
- Shared profit
- Management regulation
- Coattail effects
- Restrictions on selling
- Fraudulent franchisors

COOPERATIVES (Koperasi)

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- Cooperatives -- Businesses owned and controlled by the people who use them– producers, consumers, or workers with similar needs who pool their resources for mutual gain.
- Members democratically control the business by electing a board of directors that hires professional management.
- *Anggota koperasi merupakan pemilik sekaligus pengguna jasa koperasi*

What's best for you?

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- You can build your own business in a variety ways. You can start your own sole proprietorship, partnership, corporation, or cooperative – or you can buy a franchise and be a part of a larger corporation.
- There are advantages and disadvantages to each. Before you decide which form Is for you, evaluate all the alternatives carefully.

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05

Entrepreneurship and Starting a Small Business



Learning Objective

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PART 1 – Explain why people take the risks of entrepreneurship

PART 2 - Discuss the importance of small business in Indonesia and the major causes of small-business failure

PART 3 – Managing Small Business

PART 4 – Business Model Canvas & Value Proposition Canvas

What Is Entrepreneurship?

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- Entrepreneurship -- Accepting the risk of starting and running a business.

WHAT DOES IT TAKE to be an ENTREPRENEUR?

- Self-directed
- Self-nurturing
- Action-oriented
- Highly energetic
- Tolerant of uncertainty

What Is Entrepreneurship?

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WHY PEOPLE TAKE THE ENTREPRENEURIAL CHALLENGE

- Opportunity to prosper
- Independence
- Challenge

Finding Business Idea

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4 Ways to Find Business Ideas

- Look around your neighbourhood
- Look at your target audience
- Look at your competitor
- Look at industry insights and trends

An IDEA is a GOOD OPPORTUNITY IF…

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- It fills customers' needs.
- You have the skills and resources to start a business.
- You can sell the product or service at a reasonable price and still profit.
- You can get your product or service to customers before the window of opportunity closes.
- You can keep the business going.

Small Businesses – Usaha Mikro, Kecil, dan Menengah (UMKM)

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- Small Business -- Independently owned and operated, not dominant in its field of operation and meets certain standards of size.
  - Businesses are "small" in relation to other businesses in their industries.

Kriteria UMKM Berdasarkan Hasil Penjualannya (Peraturan Pemerintah No. 7/2021)

Bagi UMKM yang telah berdiri, jenis atau pengelompokkan UMKM dilakukan berdasarkan kriteria hasil penjualan tahunan. Di antaranya terdiri atas:

- Usaha Mikro memiliki hasil penjualan tahunan maksimal Rp2 miliar.
- Usaha Kecil memiliki hasil penjualan tahunan lebih dari Rp2 miliar, maksimal sampai Rp15 miliar.
- Usaha Menengah memiliki hasil penjualan tahunan lebih dari Rp15 miliar dengan nominal maksimal sampai Rp50 miliar.

Sementara, bagi UMKM yang baru akan didirikan, terdapat kriteria modal UMKM yang terdiri sebagai berikut:

- Usaha Mikro memiliki modal usaha maksimal Rp1 miliar di luar tanah dan bangunan tempat usaha.
- Usaha Kecil memiliki modal usaha lebih dari Rp1 miliar dengan nominal maksimal sampai Rp5 miliar di luar tanah dan bangunan tempat usaha.
- Usaha Menengah merniliki modal usaha lebih dari Rp5 miliar, maksimal sampai Rp10 miliar di luar tanah dan bangunan tempat usaha.

Peran UMKM di Indonesia

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Source: https://databoks.katadata.co.id

Peran UMKM di Indonesia

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- UMKM menyumbang sekitar **60,3%** terhadap PDB nasional, setara **±Rp 8.573,89 triliun** (Kementerian Keuangan DJPb, 2023)
  - UMKM mempekerjakan sebanyak 117 juta pekerja orang atau mencapai 97% **dari total tenaga kerja Indonesia** .
  - Indonesia memiliki Kementerian UMKM Republik Indonesia
    - What is the **objective** of the organization?
    - What kind of **assistance** they provide for small business?
    - What **other organizations give assistance** for small business?

Causes of Small Business Failures

The following are some of the causes of small-business failure:

- Plunging in without first testing the waters on a small scale.
- Underpricing or overpricing goods or services.
- Underestimating how much time it will take to build a market.
- Starting with too little capital.
- Starting with too much capital and being careless in its use.
- Going into business with little or no experience and without first learning something about the industry or market.
- Borrowing money without planning just how and when to pay it back.
- Attempting to do too much business with too little capital.
- Not allowing for setbacks and unexpected expenses.
- Buying too much on credit.
- Extending credit too freely.
- Expanding credit too rapidly.
- Failing to keep complete, accurate records, so that the owners drift into trouble without realizing it.
- Carrying habits of personal extravagance into the business.
- Not understanding business cycles.
- Forgetting about taxes, insurance, and other costs of doing business.
- Mistaking the freedom of being in business for oneself for the liberty to work or not, according to whim.

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Increasing Small Business Successes

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The following factors increase the chances of small-business success:

- The customer requires a lot of personal attention, as in a salon.
- The product is not easily made by mass-production techniques (e.g., custom-tailored clothes or custom auto-body work).
- Sales are not large enough to appeal to a large firm (e.g., a novelty shop).
- The neighborhood is not attractive because of crime or poverty. This provides a unique opportunity for small grocery stores and laundries.
- A large business sells a franchise operation to local buyers. (Don't forget franchising as an excellent way to enter the world of small business.)
- The owner pays attention to new competitors.
- The business is in a growth industry (e.g., computer services or web design).

Sources of Capital

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Sources of Capital	
Personal savings	
Relatives	
Former employers	
Banks & finance companies	
Government agencies	
Crowdfunding	
Angel investors	private individuals who invest their own money in potentially hot new companies before they go public.
Venture capitalists	Individuals or companies that invest in new businesses in exchange for partial ownership.

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Key Functions of Business

Management
- Maximizing your resources

Marketing
- Knowing your customer & educating customers about your products

Finance
- Obtain and use $$$

Accounting
- Keeping records

Human Resources
- Managing your employees

Information Systems

--

Make better business decisions

- They all interact, and Information Systems is the one who integrates it all.

Business Plan

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- **Business Plan** –
  - A detailed written statement that describes the nature of the business, the target market, the advantages the business will have over competition, and the resources and owners' qualifications.
- A business plan forces potential owners to be specific about what they will offer.
- A business plan is mandatory for talking with bankers or investors.

Business Plan

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Example of Business Plan Structure

- Cover Letter
- Section 1 Executive Summary
- Section 2 Company Background
- Section 3 Management Team
- Section 4 Financial Plan
- Section 5 Marketing Plan
- Section 7 Location Analysis
- Section 8 Manufacturing Plan
- Section 9 Appendix

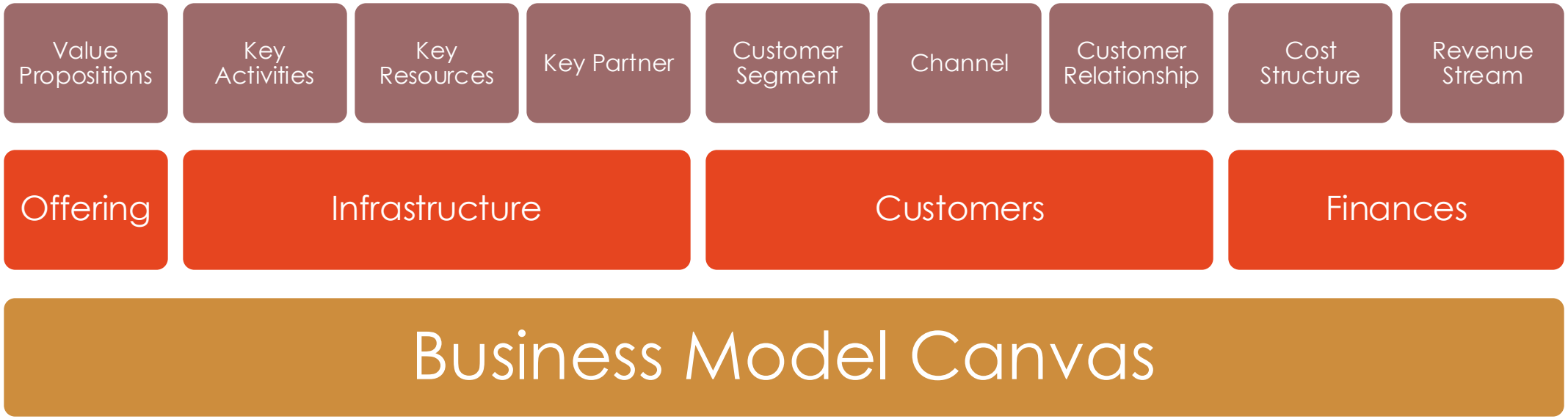
Assessing Business Plan:

- Potential revenue
- Demand for product or service
- Expense of production
- Overall potential for profitability

What is Business Model Canvas?

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Introduced by Alexander Osterwalder in 2008, it is a one page document which works through **the fundamental elements of a business or product**, structuring an idea in a coherent way



Business Model Canvas with Explanation

The Business Model Canvas

Designed for:	Designed by:	Date:	Version:

Key Partners

•If my business cannot achieve the value proposition alone, **who else do I need to rely on** to do it?

Key Activities

•What **activities** does the business undertake in achieving the value proposition for the customer?

Key Resources

•What **practical resources are needed** to achieve the key activities (actions) of the business?

Value Propositions

•What is **the problem I am solving?**
•Why would someone want to have this problem solved?
•What is the underlying motivator for this problem?

Customer Relationships

•How a business **interacts with its customers.**
•Do you meet with them in person? Or over the phone?

Channels

•How are we going tell **our custometor segment about our value** proposition?
•Where are our customers?

Customer Segments

•Who are we solving the problem for?
•What are the **characteristics of the people who are looking for my value proposition**?
•A great place to start understanding your customer is to create **customer personas** for each of your Customer Segments

Cost Structure

•How much does it **cost to achieve my businesses key activities**?
•How much does it cost to achieve the value proposition for my customers/users?

Revenue Streams

•How do you **gain revenue**?
- Pay per product (pay per view)
- Fee for service
- Fixed rate
- Subscription

DESIGNED BY: Business Model Foundry AG
The makers of Business Model Generation and Strategyzer

Strategyzer
strategyzer.com

Business Model Canvas Template

Business Model Canvas -



Key Partners



Key Activities



Value Propositions

Write directly to the canvas…

Or use the post-it™ note

Double click on the post-it™ to edit. Recolour it using the picture format tools.

…or both



Customer Relationships



Customer Segments



Key Resources



Channels



Cost Structure



Revenue Streams

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http://www.businessmodelgeneration.com

Value Proposition Canvas

The Value Proposition Canvas helps you to **create a fit** between what customers want and what your business offers. With better insight you create products and services that customers want.

Customer tasks/jobs

- *Write down the tasks that potential customer has to do or wants to complete in work or in life. Example: buying groceries, taking a course & regularly exercising*

Customer pains

- *Anything that annoys a customer when getting a job done. Can be undesired outcomes or problems for the customer during a task, like a long waiting line or a bad feeling after consuming something*

Customer gains

- *Think of what would make the customer task easier, what would make a customer look good, and what would a customer dream of*

Products & services

- *Describe the products and/or services of your business*

Pain reliever

- *the solutions that your products and services offer to customer pains. Write down the features or functionalities of your products and services that offer solutions for customer pains*

Gain reliever

- *the functionalities or features of your products and services that produce outcomes that customers expect or desire. Think of how your products and services can exceed the expectations of customers*

➡ **Product Fit**

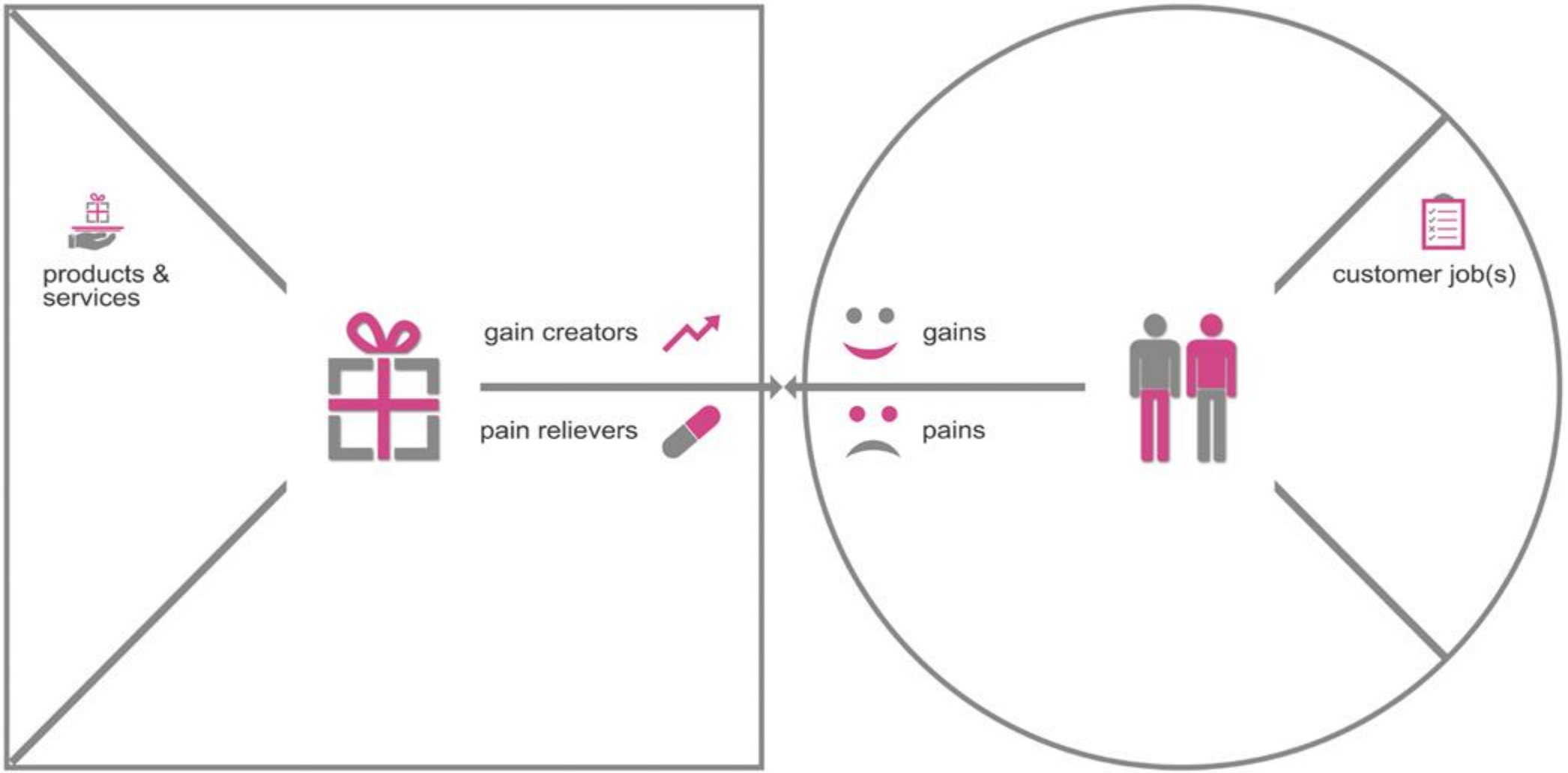
your value proposition addresses important customer tasks, alleviate the worst pains, and create the best possible gains

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value proposition canvas

name _____



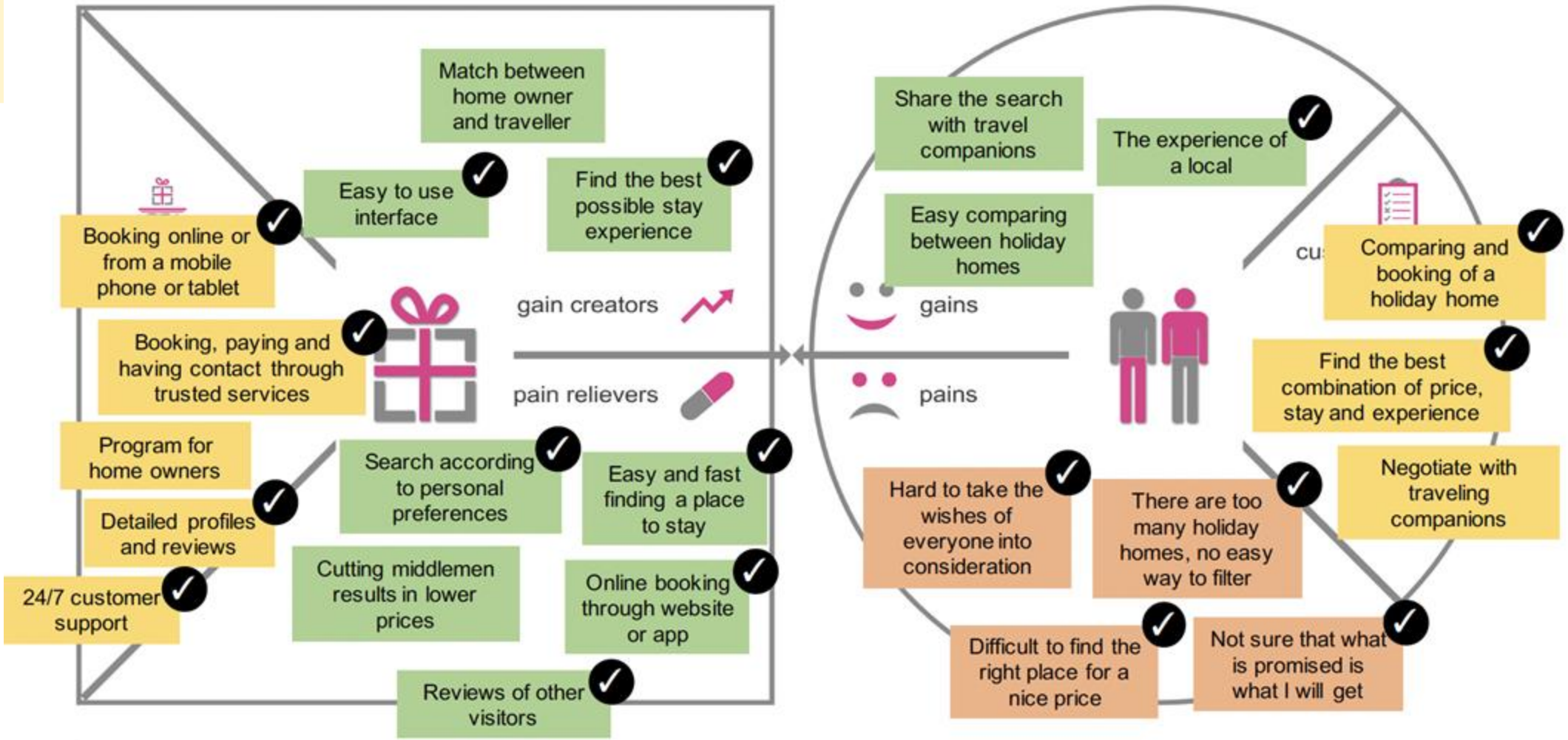
value proposition	customer segment

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value proposition canvas

name airBnB



value proposition

A community marketplace where people can promote or book accommodations

customer segment

A traveller looking for accommodation for a group

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